

WRITTEN QUESTIONS (TOTAL: 100 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 100% of the total marks for this examination.

Question 1 (15 marks – approximately 27 minutes)

Julie enrolled in a cooking class two weeks ago and thought she would need to buy a pressure cooker. While she was browsing the internet, she saw on the website of an online kitchenware store called "Treasureware" an advertisement about a pressure cooker with a price tag of HK\$299. She thought it was a very good bargain and quickly submitted an order for the pressure cooker. Upon submitting her order, she received an automated receipt of order which stated clearly that the acceptance would follow later when the seller indicated acceptance of the customer's order by email. However, to her surprise, she subsequently received an email in which she was informed that the correct price was HK\$2,999. She thought that Treasureware should sell the pressure cooker to her at HK\$299.

The next day, Julie met her neighbour Tommy who lived alone and was recovering from a recent car accident. Julie volunteered to drive Tommy to attend physical therapy sessions three times a week until Tommy's full recovery. After having fully recovered from his injury, Tommy said to Julie that he would give her a valuable painting to show his gratitude for her kindness. However, when Julie asked Tommy for the valuable painting two days later, Tommy refused to give her the valuable painting.

Required:

In relation to the law of contract:

- (a) Analyse whether Treasureware is bound to sell the pressure cooker to Julie at the price of HK\$299.**
(10 marks)
- (b) Analyse whether Tommy is bound to give Julie the valuable painting.**
(5 marks)

Question 2 (10 marks – approximately 18 minutes)

Johnathan is a wine lover. A few years ago, his good friend Annie incorporated a limited company in Hong Kong, Excellent Wine Company Limited ("EWL"), to deal in gourmet wines and spirits. Since then, Johnathan has been regularly purchasing wine from EWL. As Johnathan loves throwing parties, he frequently leaves bottles of wine he has purchased with EWL for storage after having fully paid for them and for the storage. The bottles of wine already paid for are stored in cases placed on pallets in EWL's warehouse. All the wine cases are clearly and individually labelled as belonging to a particular customer and the wine belonging to different customers is placed on separate pallets. Whenever Johnathan needs wine for his parties, certain bottles of wine will be removed from Johnathan's stock and delivered to him at his request.

A few weeks ago, Johnathan learned from Annie that EWL had taken out a bank loan to deal with its cash flow problem. Annie was worried because her business was declining. Johnathan has recently bought from EWL and paid for a substantial quantity of wine which was, as usual, labelled as his wine. EWL has recently gone into receivership and the receiver has taken possession of all the assets of EWL, including the individually labelled cases of wine placed on separate pallets in EWL's warehouse.

Required:

In relation to the law of the sale of goods, including case law and legislation:

- (a) Explain the rules of passing of property of goods in a contract for the sale of goods.

(6 marks)

- (b) Analyse whether Johnathan is entitled to claim the wine he has paid for from the receivers of EWL.

(4 marks)

Question 3 (25 marks – approximately 45 minutes)

Matthew and Winnie are good friends. Matthew is employed by Global Trading Company Limited ("GTL") as a Sales Executive. Winnie is an IT expert and is dissatisfied with her income. A few months ago, Winnie got acquainted with a few other IT experts and they began to scam people out of their money by engaging in internet fraud. Instead of depositing her proceeds into her own bank account, Winnie requested Matthew to open a few bank accounts so that she could deposit various amounts into each of his bank accounts. Winnie would then ask Matthew to remit those amounts to her or to other third parties whom Matthew did not know. Winnie offered to pay Matthew a certain sum of money each time. Matthew did what she requested him to do without asking any questions as Matthew's wife had recently lost her job.

A few weeks ago, Winnie called Matthew during office hours to tell him she needed money urgently. Winnie asked Matthew to pick her up and drive her to CDE Bank to withdraw money from one of Matthew's accounts into which she had deposited some money. Winnie offered to give Matthew double the amount she had promised to give him for doing this. As a Sales Executive, Matthew has been entrusted with the key to the company car so that he can drive to visit clients and suppliers. However, Matthew must obtain prior permission from the General Manager Peter before using the company car. Without obtaining permission from Peter, Matthew took the company car to pick Winnie up and drove her to CDE Bank to withdraw money out of his account and then gave the money to Winnie. In order to avoid any of his colleagues finding out that he had taken the company car without permission, Matthew tried to get back to his office as quickly as he could. As Matthew was driving very fast, he did not notice that the traffic light had turned red. Matthew drove through a red light and injured an elderly pedestrian Mrs Slow.

Required:

- (a) In relation to anti-money laundering laws of Hong Kong, including common law and the Organized and Serious Crimes Ordinance (Cap.455), analyse whether Matthew might have committed any criminal offence by doing what Winnie has asked him to do.
(5 marks)
- (b) In relation to the tort of negligence, explain the essential elements of negligence and analyse whether Mrs Slow can bring a claim against Matthew on the grounds of negligence.
(10 marks)
- (c) In relation to employment law, analyse whether GTL can be held vicariously liable for Matthew's wrongful act if Mrs Slow decides to sue both Matthew and GTL for damages for her injury.
(10 marks)

Question 4 (10 marks – approximately 18 minutes)

Jerry is a well-established, wealthy and well-known businessman. His good friend Johanna is a renowned independent financial analyst. Johanna gives Jerry investment advice from time to time. Several weeks ago, Jerry expressed interest in investing in an app company known as High Gains Company Limited ("HGL"), the business of which is growing very fast. However, Jerry was worried that the sole owner of the shares in HGL, Ms Koh, may ask him to pay an inflated price for shares because she believed that he was a rich person. Therefore, Jerry did not want Ms Koh to know that he was interested in buying her shares. Jerry suggested that Johanna should contact Ms Koh and negotiate for a purchase of shares in HGL in her own name without telling Ms Koh that she was buying those shares on his behalf. Jerry offered to pay Johanna a handsome commission if she agreed to do this for him.

Following months of negotiations with Ms Koh, Johanna managed to enter into a Share Purchase Agreement (the "Agreement") with Ms Koh involving an amount of HK\$8 million. However, about a week before the completion date of the sale and purchase of the shares under the Agreement, Jerry learned that HGL's business had been substantially declining because the talented app designer Eric had left HGL. Jerry does not want to buy shares in HGL anymore. Ms Koh has just found out that Johanna is the agent of Jerry, and Jerry has instructed Johanna to buy shares in HGL on his behalf.

Required:

- (a) In relation to agency law, analyse whether Ms Koh is entitled to enforce the contract against Jerry and/ or Johanna. (5 marks)
- (b) Regardless of whether Ms Koh wishes to enforce the Agreement against Jerry or Johanna, analyse which court/ tribunal has jurisdiction to deal with Ms Koh's case which involves an amount of HK\$8 million. Explain the jurisdiction of that court/ tribunal. (5 marks)

Question 5 (30 marks – approximately 54 minutes)

April, Billy and Cedric are good friends. About a year ago, they incorporated a company in Hong Kong, Best Style Limited ("BSL"), which specialises in designing and making avant garde bridal gowns. All three of them are the shareholders of BSL.

April studied fashion design in Europe and was put in charge of the design and production of the bridal gowns. April was appointed as the sole director of BSL. Billy studied marketing and was appointed Marketing Manager. April and Billy are in a relationship and will be getting married soon. Cedric comes from a wealthy family. As Cedric does not know much about fashion, he only wants to provide capital to BSL in return for dividends. While BSL was being incorporated, Cedric told April and Billy that he trusted them both and was happy to be just a shareholder.

Although Billy was not a director of BSL, he started to give instructions to April as regards the operation of the business right after the incorporation of BSL, and April always followed Billy's instructions. Soon after the incorporation of BSL, April received a lot of enquiries and the business of BSL flourished. One day, Billy suggested to April that they should set up their own bridal gown business. Billy said to April that it was not fair that Cedric received dividends without having to do anything. April and Billy then incorporated another company, Best of the Best Style Limited ("BBL") and began to divert the business of BSL to BBL.

A few months ago, Cedric left Hong Kong because his mother fell sick in Canada. Before Cedric left Hong Kong, he told April and Billy that he might be away from Hong Kong for quite some time and thanked them for taking care of the business of BSL while he was away. The business of BSL began to decline. As April and Billy spent much of their time on the business of BBL, they hardly noticed that BSL was heavily indebted. After Cedric had returned to Hong Kong, he was surprised to accidentally hear from the General Manager of a supplier, Bobo, an old classmate of his, that BSL owed a few suppliers a substantial amount of money and seemed to be in grave financial difficulty.

Required:

In relation to company law in Hong Kong:

- (a) Explain what the different types of directors of a company are and analyse which type(s) of director April is.
(8 marks)
- (b) Analyse the role played by Billy (apart from that of a Marketing Manager), given the fact that he has not been appointed as a director of BSL.
(2 marks)
- (c) Explain the fiduciary duties owed by April to BSL, if any.
(10 marks)

- (d) Analyse whether April was in breach of any duties owed to BSL by diverting the business of BSL to BBL.

(5 marks)

- (e) On the basis of your answer in part (d), analyse what remedies are available to BSL, if any.

(5 marks)

Question 6 (10 marks – approximately 18 minutes)

Two months ago, Vivian received a huge amount of money from her rich grandmother as dowry for her marriage. Vivian wanted to make use of the money to make some investments in the stock market and she therefore decided to acquire 5% of the shares in Good Prospects Company Limited ("GPL"), a company listed on the Main Board of the Hong Kong Stock Exchange ("HKSE"), through her stockbroker, Jason. Vivian has been advised of the disclosure obligation of a substantial shareholder of a listed company. As Jason handled the transaction of acquisition of the shares for her, Vivian delegated the duty of disclosure to Jason. Due to a misunderstanding of the requirements of the law, Jason only gave notice to the HKSE but not GPL.

Required:

In relation to the laws relating to securities and futures:

- (a) **Analyse under what circumstances a shareholder has the obligation to disclose his/ her interest in the shares of a listed company.**

(6 marks)

- (b) **Analyse whether Vivian's delegation of the task of disclosure to Jason, her stockbroker, will constitute a defence for her non-compliance with the disclosure of interest requirements under Part XV of the Securities and Futures Ordinance (Cap.571).**

(4 marks)

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